TECHNICAL NOTE 5

FINANCIAL SERVICES INTELLIGENCE

Banking, Insurance, Fintech & Regulatory Compliance

Applying AMC, War Gaming, Blind Spot & ECOMO Frameworks
to Banking, Insurance, and Fintech Competitive Analysis

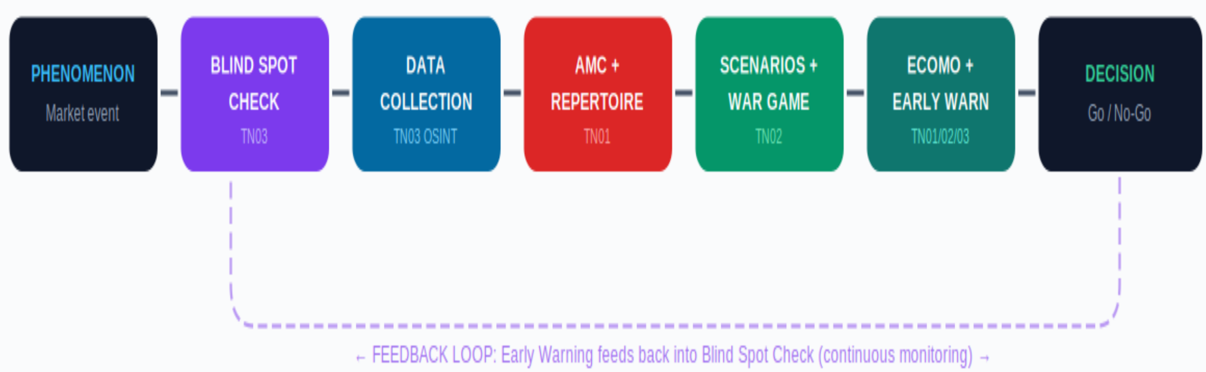
César Moreno Pascual Ph.D.
Universidad Francisco de Vitoria • Corporate Intelligence Course • v2.0

1. Financial Services: Sector Framework

The financial services sector is among the most data-rich and heavily regulated industries globally. For competitive intelligence practitioners, this creates both opportunity and complexity: mandatory public disclosures provide unparalleled transparency into competitor strategy, while fintech disruption demands that traditional analytical frameworks be adapted to a sector where new entrants can reshape market boundaries within years.

This technical note applies the core CI frameworks from TN01 (AMC Framework, Exchange Value), TN02 (War Gaming, Scenario Planning, ECOMO), and TN03 (Blind Spots, Alternative Data, Early Warning Systems) to the financial services sector. The structure comprises three layers: the sector's general economics, the data sources for intelligence collection, and the practical application of the framework.

Figure 1.1: Integrated CI Analytical Pathway — Financial Services



Based on TN01 (AMC, Exchange Value), TN02 (War Gaming, Shell Method, ABP, ECOMO), TN03 (Blind Spots, OSINT, Early Warning)

KEY INSIGHT

Financial services are unique to CI because regulatory requirements compel competitors to disclose strategic information that would otherwise remain hidden in other industries. The challenge is not finding data—it is filtering signal from noise across thousands of filings, patents, and product launches.

1.1 Business Model Canvas

For a traditional bank, the Business Model Canvas reveals a multi-sided platform: the bank intermediates between depositors (funds) and borrowers (interest payments), while serving fee-generating advisory and transaction clients. The key resources are the balance sheet and the regulatory licence. For a neobank, the canvas looks fundamentally different: the key resource shifts to technology and user experience, the cost structure is dramatically lower, and revenue relies on interchange fees and premium subscriptions rather than interest margin.

CONNECTION TO TN03: BLIND SPOTS

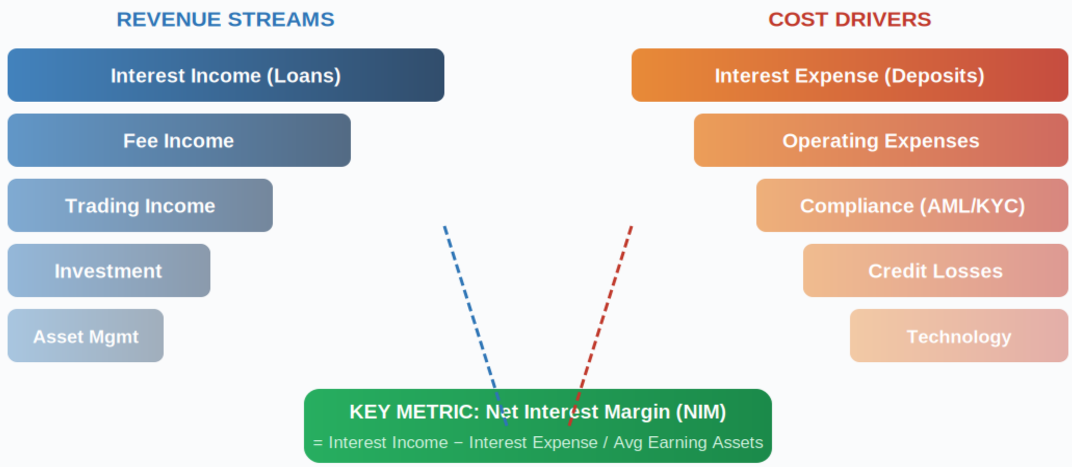
Zahra & Chaples (1993) warn about misjudging industry boundaries. In financial services, this is particularly
dangerous: a bank analysing only other banks will miss threats from payment apps (Apple Pay, Google Pay),
neobanks (Revolut, N26), and embedded finance players (Shopify Capital, Uber Financial Services).

Apply the industry boundary test: Ask ‘Who else solves the same customer problem?’

2. Banking: Drivers for Profitability

Banks generate revenue through multiple interconnected streams. Understanding these drivers is essential for CI analysts because changes in any single driver create competitive intelligence signals visible in public data.

Figure 2.1: Banking Profitability Model



2.1 Revenue Drivers

Net Interest Margin (NIM)

NIM = (Interest Income − Interest Expense) / Average Earning Assets. For US commercial banks, NIM typically ranges between 2.5% and 4.0%. Competitive pressure from digital banks and fintechs is compressing margins, making the NIM trajectory a critical competitive signal.

Fee Income

Banks generate substantial non-interest revenue from account maintenance fees, transaction fees, overdraft fees, and card interchange fees. Regulatory pressure on overdraft and interchange fees has made fee income a competitive battleground and an area of significant strategic uncertainty.

Trading and Investment Income

Larger banks earn revenue from market making, proprietary trading, derivatives, and asset management. These streams can account for 20–40% of revenue for major investment banks but are volatile.

Cost Structure

The **Efficiency Ratio** (Non-Interest Expense / Revenue) is the primary measure of operational competitiveness. Top performers target 50–55%; industry average is 55–70%. Key costs include technology investment, compliance (AML/KYC), and branch network optimisation.

APPLIED EXAMPLE: JPMorgan vs Challenger Banks

JPMorgan Chase reported NIM of 2.72% in Q3 2024, while neobank Chime operates with near-zero NIM.

Chime's revenue model relies on interchange fees (~1.5% per debit transaction) and early direct deposit.

For JPMorgan's CI team: Monitor Chime's app downloads (Sensor Tower – TN03 alternative data), customer demographic overlap, and regulatory risk to interchange fees (CFPB).

CONNECTION TO TN01: AMC FRAMEWORK FOR BANKING

When a bank launches a digital product (e.g., Goldman Sachs' Marcus), apply AMC:

AWARENESS: HIGH – mandatory SEC filings ensure competitors know.

MOTIVATION: Varies by bank – check revenue concentration in the affected segment.

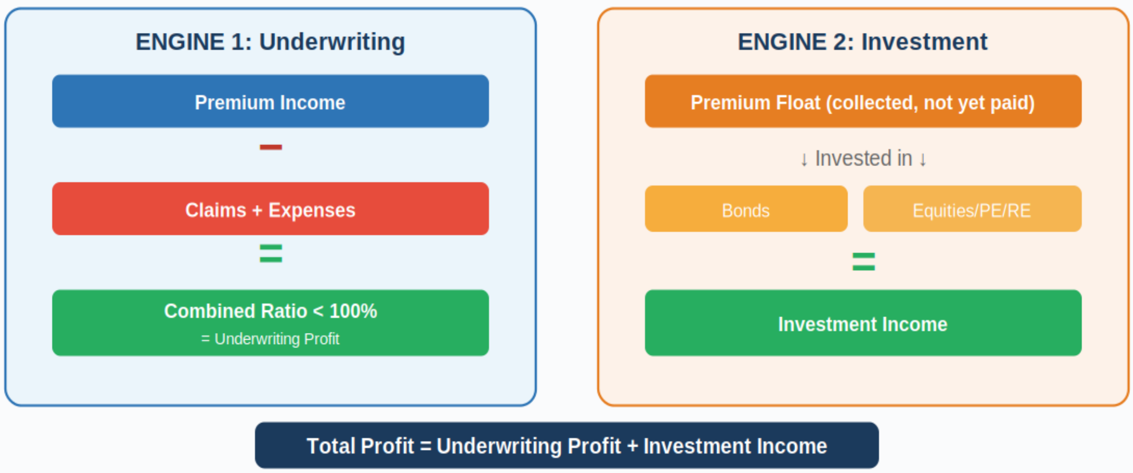
CAPABILITY: Check capital ratios (Basel III CET1), tech investment trends in 10-K.

Prediction: Use the AMC decision tree to estimate the response probability for each competitor.

3. Insurance: Drivers for Profitability

Insurance companies operate on a fundamentally different economic model from banks. Insurers earn from two engines: underwriting profit (premiums minus claims) and investment income (investing the premium float). Understanding this dual-engine model is critical for financial services CI.

Figure 3.1: Insurance Dual-Engine Profitability Model



3.1 Underwriting Economics

The **Combined Ratio** is the master metric: Combined Ratio = (Claims + Expenses) / Premiums. Below 100% = underwriting profit. It decomposes into the **Loss Ratio** and **Expense Ratio**. Tracking combined ratio trends reveals who prices risk more accurately and who may be 'buying' market share by under-pricing.

3.2 Investment Income and Float Management

Premiums collected upfront but claims paid later create a 'float' that the insurer invests. Float management involves duration matching, credit quality, and yield optimisation. Insurers with superior underwriting discipline have a compounding competitive advantage.

APPLIED EXAMPLE: Lemonade vs Traditional Insurers

Lemonade reported a combined ratio of ~280% in its early years, compared with Allstate's 95–100%. Yet Lemonade's

valuation reached $10B at IPO. The bet: AI-driven claims + digital acquisition lower both ratios over time.

CI actions: Monitor Lemonade's quarterly combined ratio trend, patent filings (AI models),

and customer cohort retention as they age into higher-value segments.

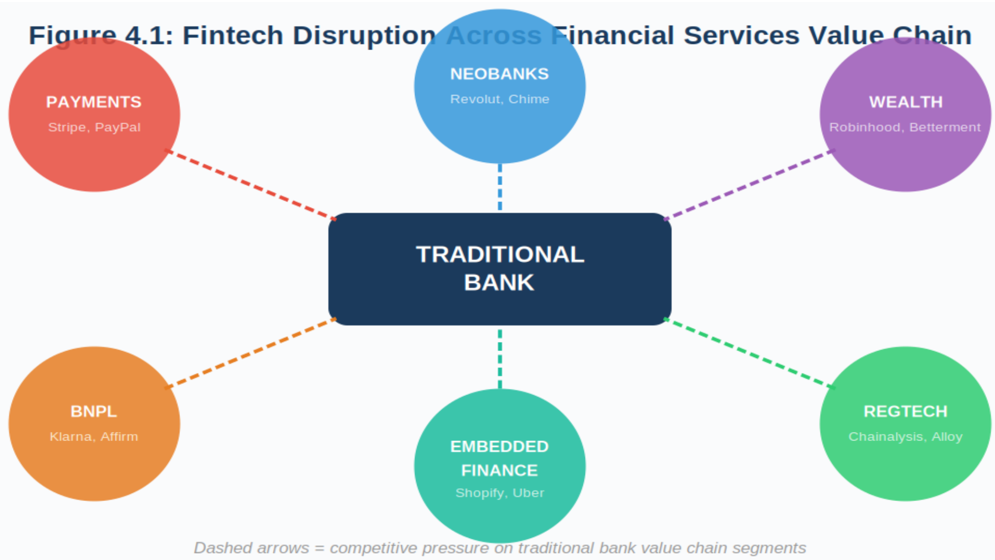
CONNECTION TO TN02: WAR GAMING IN INSURANCE

A Shell Method scenario exercise for a property insurer:
Uncertainty #1: Climate change severity (catastrophic event frequency)
Uncertainty #2: Insurtech disruption speed (slow vs rapid digital shift)
The 2×2 matrix creates four scenarios. A war game assigns Red Team = Lemonade,
Blue Team = traditional insurer, Control injects regulatory shocks.

4. Fintech Disruption: The CI Challenge

Fintech represents a multi-front assault on different parts of the financial services value chain. CI practitioners must track threats across payments, lending, wealth management, insurance, and regulatory technology simultaneously.

Figure 4.1: Fintech Disruption Across Financial Services Value Chain



Dashed arrows = competitive pressure on traditional bank value chain segments

4.1 Digital Payments

Payment processors (Stripe, Square, Adyen, PayPal), BNPL players (Klarna, Affirm, Afterpay), mobile wallets (Apple Pay, Google Pay), and cross-border specialists (Wise, Remitly) all attack different parts of bank payment revenue.

4.2 Digital Banking and Embedded Finance

Neobanks (Chime, N26, Revolut, Nubank) acquire customers at a fraction of the cost of traditional banks. Banking-as-a-Service platforms enable any company to embed financial services. This decouples the customer relationship from the regulated entity — perhaps the most strategically threatening development.

4.3 Wealth Management, InsurTech, and RegTech

Robo-advisors (Betterment, Wealthfront) at 0.25% fees vs 1–1.5% for traditional advisors. Commission-free trading (Robinhood) forced industry-wide change. InsurTech (Lemonade, Oscar Health) uses AI for underwriting. RegTech (Chainalysis, Alloy) automates compliance.

KEY INSIGHT

The most insidious fintech effect is not direct loss of market share. It is training customers to expect instant, seamless, low-cost services — permanently raising the bar for incumbent experience. This ‘expectation effect’ is the real disruption.

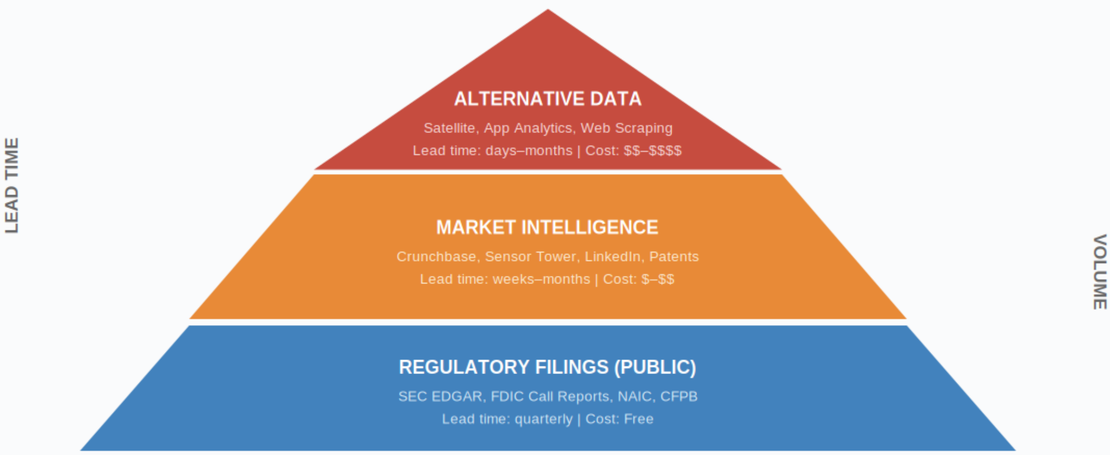
CONNECTION TO TN03: EARLY WARNING SYSTEM FOR FINTECH

Design a KIT following Gilad's framework:
KIT: Is [Fintech X] about to enter our core market segment?
Leading Indicators: Patent filings (18–24mo lead), banking licence applications,
job postings for compliance specialists (3–6mo lead), app feature additions (weeks lead),
funding rounds with stated use-of-proceeds (Crunchbase)
Monitoring: Weekly app + job scans; monthly patent + funding checks.

5. Data Sources for Financial Services Intelligence

Financial services are one of the most data-transparent sectors due to regulatory disclosure requirements. This section catalogues key intelligence sources and maps them to CI frameworks.

Figure 5.1: Financial Services Intelligence Data Source Hierarchy



Higher = more actionable but harder to access | Lower = more abundant but lagging

5.1 Regulatory Filings

SEC EDGAR: 10-K annual reports, 10-Q quarterly financials, 8-K material events. **FDIC Call Reports**: quarterly data for all insured institutions. **NAIC**: state insurance statutory filings. **CFPB Complaint Database**: customer experience signals. All free.

5.2 Market and Alternative Intelligence

Data Source	Intelligence Value	Lead Time	Framework Link
SEC EDGAR	Strategic direction, financials	Quarterly	AMC Capability
FDIC Call Reports	Granular bank financials	Quarterly	ECOMO inputs
Crunchbase / PitchBook	Fintech funding, valuations	Weekly	Early Warning (TN03)
Sensor Tower / Apptopia	App downloads, DAU/MAU	Weekly	Blind Spot Detection
USPTO / EPO Patents	R&D direction, tech capability	18–24 mo	AMC Capability
LinkedIn Job Postings	Strategic hiring signals	3–6 mo	Leading indicator
Web Scraping (pricing)	Competitive positioning	Real-time	War Gaming inputs
CFPB Complaints	Customer experience	Monthly	Blind Spot (quality)

APPLIED EXAMPLE: Fintech Early Warning Dashboard

Weekly monitoring with free/low-cost sources:

1. SEC EDGAR RSS feeds for 8-K filings (automated)
2. Crunchbase alerts for fintech funding > $50M
3. Sensor Tower weekly download trends for the top 20 fintech apps
4. LinkedIn job analysis for competitors hiring AI/ML, compliance

Maps to TN03's Alert System: Critical Alert + Active Monitor + Watch List + Background Scan.

6. Key Intelligence Indicators (KIIs)

Following TN03's distinction between leading and lagging indicators, these are the most important KIIs for financial services sub-sectors.

6.1 Banking KIIs

Indicator	Type	What It Signals	Source	Frequency
NIM trend	Lagging	Pricing pressure	FDIC Call Reports	Quarterly
Efficiency Ratio	Lagging	Operational competitiveness	SEC 10-Q	Quarterly
App downloads/DAU	Leading	Digital adoption velocity	Sensor Tower	Weekly
Tech capex / revenue	Leading	Digital transformation	10-K, 10-Q	Quarterly
Branch closure rate	Leading	Digital channel confidence	FDIC, press	Quarterly
Exec departures to fintech	Leading	Talent drain signal	LinkedIn	Real-time

6.2 Fintech KIIs

Indicator	Type	What It Signals	Source	Frequency
Funding round size	Leading	Growth capacity	Crunchbase	Weekly
App download growth	Leading	Product-market fit	Sensor Tower	Weekly
Product feature launches	Leading	Expansion direction	Press, app stores	Daily
Regulatory licence apps	Leading	Intent to become regulated	State regulators	Monthly
Patent filing volume	Leading	R&D investment	USPTO	Monthly
Burn rate/runway	Leading	Sustainability	Crunchbase, filings	Quarterly

CONNECTION TO TN03: MONITORING FREQUENCY MATRIX

CRITICAL ALERT (high volatility + high impact): Regulatory actions, major funding, app spikes
WATCH LIST (low volatility + high impact): Quarterly financials, combined ratios, market share
ACTIVE MONITOR (high volatility + low impact): Daily product launches, social media

BACKGROUND SCAN (low volatility + low impact): Tech trends, demographics, academic research

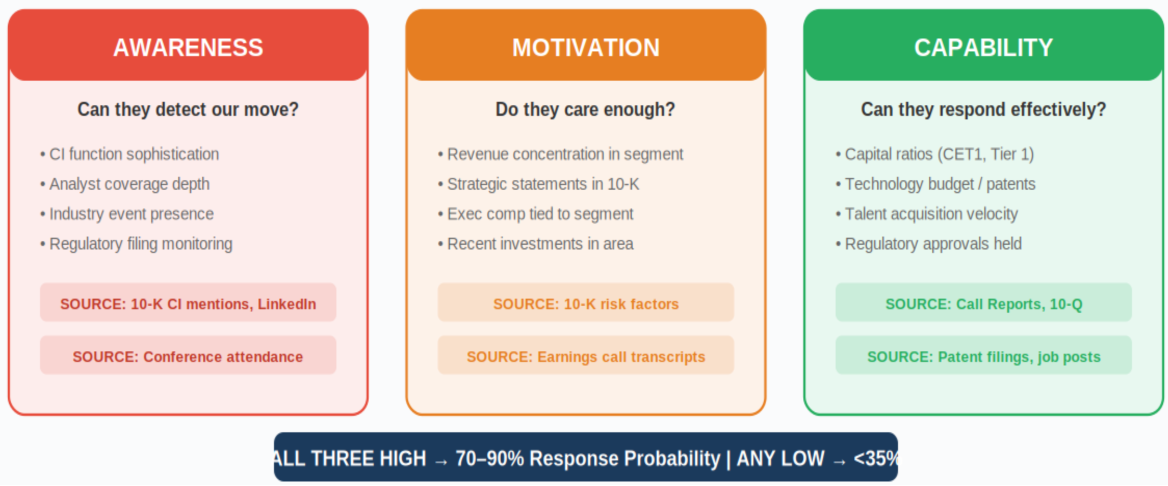
7. Applying CI Frameworks to Financial Services

https://claude.ai/public/artifacts/6fb390e0-6ce0-4181-a92f-25b48ea01102 (Case study Example)

7.1 AMC Framework: Predicting Responses in Banking

The AMC framework from TN01 maps to specific, observable financial services data sources.

Figure 7.1: AMC Framework Applied to Financial Services



APPLIED EXAMPLE: AMC – Revolut Entering the US Market

AMC of JPMorgan's response to Revolut's US expansion:
AWARENESS: HIGH – JPMorgan has a fintech monitoring team, and the 10-K lists fintech risk.
MOTIVATION: MEDIUM – Revolut targets younger users (not the highest-value current segment).
CAPABILITY: HIGH – CET1 15.0%, strong mobile app, can respond with features or acquisition.
Prediction: 60–70% response within 12 months. Likely: enhanced digital + targeted marketing.

AMC of a regional community bank:
AWARENESS: LOW | MOTIVATION: LOW | CAPABILITY: LOW
Prediction: 10–15% response. Not a concern for Revolut.

7.2 War Gaming: Simulating Fintech Competition

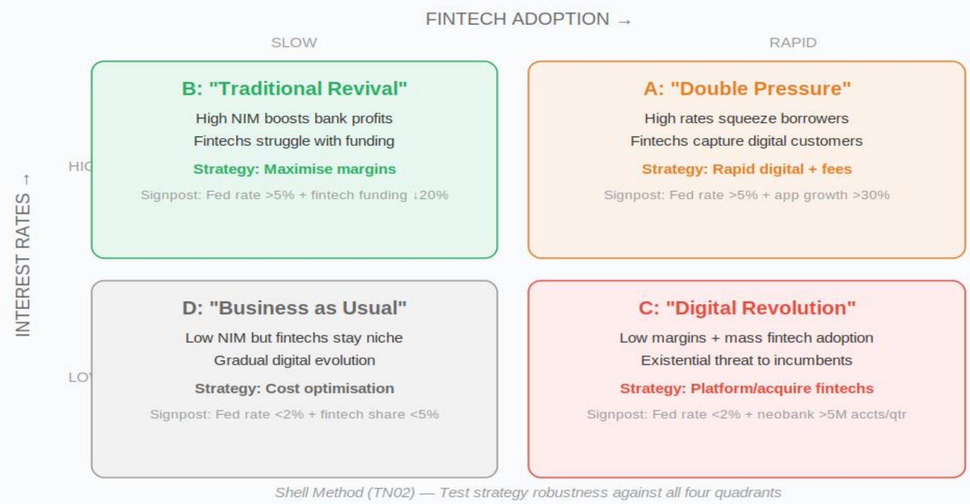
APPLIED EXAMPLE: War Game – Credit Card Issuer vs BNPL

Blue Team: Credit card issuer (defending point-of-sale dominance)
Red Team: Klarna/Affirm (attacking with zero-interest BNPL)
Green Team: CFPB / Federal Reserve (regulatory responses)

Round 1: Red announces zero-interest BNPL at top 100 US retailers
Round 2: Blue responds (price cut? New product? Acquire BNPL?)
Shock: Green announces BNPL must comply with Truth in Lending Act
KEY INSIGHT: Aggressive regulation helps the card issuer more than any competitive response.

7.3 Scenario Planning: Interest Rate Uncertainty

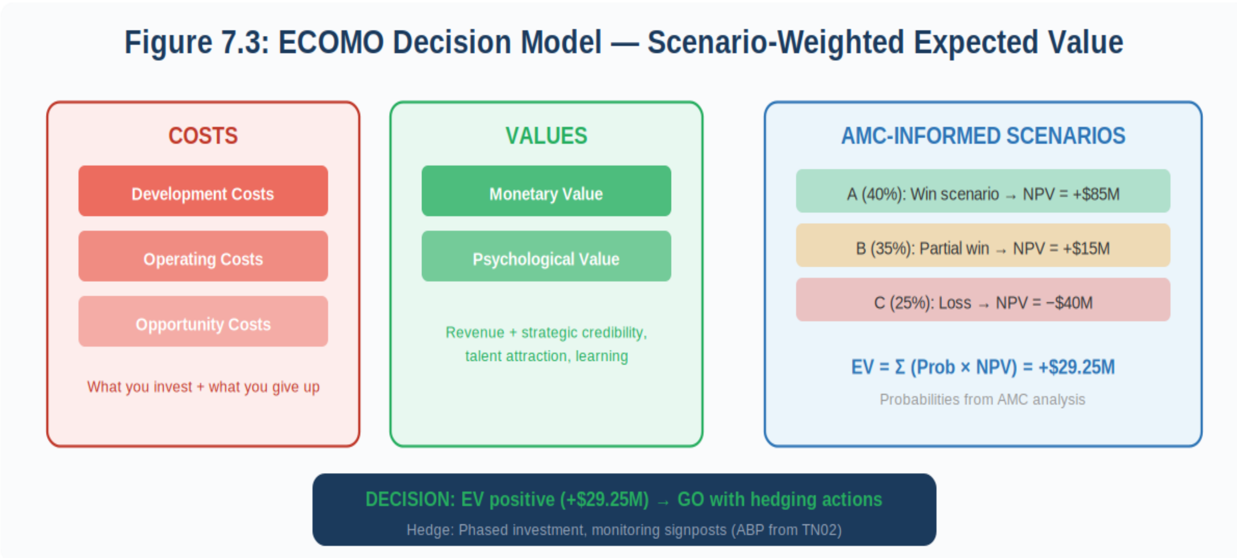
Figure 7.2: Scenario Planning Matrix — Retail Banking



CONNECTION TO TN02: SIGNPOSTS FOR EACH SCENARIO

Scenario A signpost: Fed rate > 5% AND fintech app downloads growing > 30% YoY
Scenario B signpost: Fed rate > 5% AND fintech funding declining > 20% YoY
Scenario C signpost: Fed rate < 2% AND neobank openings > 5M/quarter
Scenario D signpost: Fed rate < 2% AND fintech share stable < 5%
Review signpost status monthly. If a scenario becomes dominant, trigger strategy review.

7.4 ECOMO Model: Evaluating a Digital Banking Launch



📋 APPLIED EXAMPLE: ECOMO – Should We Launch a Neobank?

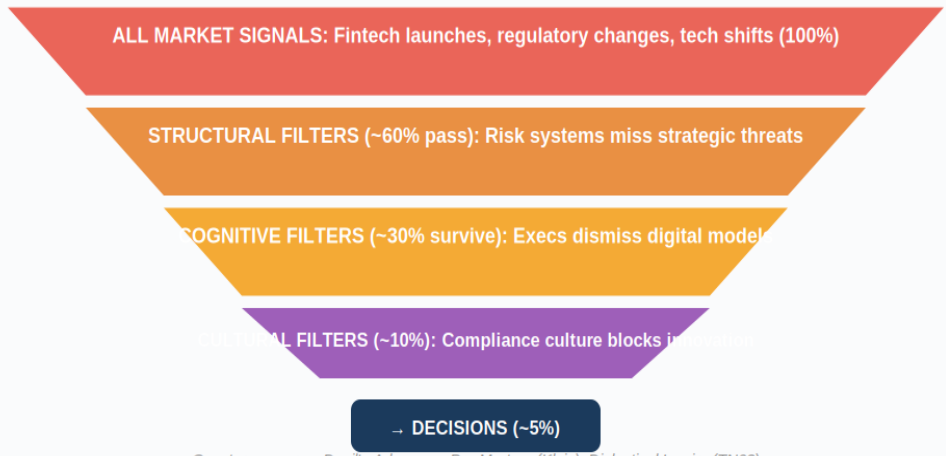
A regional bank ($50B assets) evaluates a digital sub-brand:
COSTS: Platform $30M + regulatory $5M + brand $10M + ops $25M/yr
VALUES: 500K accounts in Y3 at $200 rev/account = $100M revenue at maturity

Scenario A (40%): Competitors slow → NPV +$85M
Scenario B (35%): Competitors match → NPV +$15M
Scenario C (25%): Poor adoption → NPV −$40M
EV = (0.40×$85M) + (0.35×$15M) + (0.25×−$40M) = +$29.25M
vs Branch expansion EV = +$22M → GO with phased investment hedging.

8. Blind Spots and Cognitive Biases in Financial Services CI

Financial services firms are particularly susceptible to the blind spots identified by Zahra & Chaples (1993). A long history, heavy regulation, and strong institutional culture create multiple weak-signal filters.

Figure 8.1: Weak Signal Filter Funnel in Banking (TN03)



Countermeasures: Devil's Advocacy, Pre-Mortem (Klein), Dialectical Inquiry (TN03)

8.1 Sector-Specific Blind Spots

Blind Spot (TN03)	Financial Services Manifestation	Countermeasure
Misjudging Boundaries	Banks only monitor other banks, missing fintech/big tech	Expand the competitor set to all who solve the same customer problem
Poor Identification	Insurers ignore startups as ‘too small’	Track growth rates, not current size; neobanks grew 0 to 50M users in 5 yrs.
Overemphasis on Visible	Focus on JPMorgan’s moves while missing Stripe’s infrastructure	Allocate CI to future threats, not current visibility
Overconfidence in History	Assuming NIM will revert to the historical mean	Scenario planning (Shell Method) to stress-test structural breaks

8.2 Countermeasures

Devil’s Advocacy: Assign someone to argue that a specific fintech will capture 20% of your core market in 5 years. **Pre-Mortem** (Klein, 2007): Imagine your digital banking launch has failed—what went wrong? **Dialectical Inquiry**: Present two contradictory analyses to the board and force a structured debate.

9. Regulatory and Compliance Framework

9.1 Sarbanes-Oxley (SOX)

SOX Section 302 requires CEO/CFO certification of financials. Section 404 mandates an internal control assessment. For CI, SOX means that public filing data is legally certified and reliable. Material risks and competitive factors must be disclosed, making 10-K filings rich sources of strategic intelligence.

9.2 Basel III/IV

Capital requirements (CET1, Tier 1, Total), liquidity ratios (LCR, NSFR), and leverage ratios directly affect competitive capability. For AMC analysis, capital ratios measure capability: a bank near minimums cannot fund aggressive responses.

COMPLIANCE BOUNDARIES FOR CI

- GDPR/CCPA: Customer data from apps cannot be used for CI without a lawful basis.
- SCIP Ethics: Never misrepresent identity when collecting intelligence.
- MNPI: If your CI uncovers material non-public information, stop and consult legal.
- Bank Secrecy Act: Never attempt to access customer accounts or SARs of competitors.
- Fair Competition: CI is an analysis of public information. It is never espionage.

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